IN THE NATIONAL COMPANY LAW TRIBUNAL, NEW DELHI
COURT-V

Item No.-202

CP (CAA) No. - 34/230/232/ND/2022

IN THE MATTER OF:

Bikano Foods Pvt. Ltd. And Bikanerwala Foods Pvt. Ltd **....Applicant**

SECTION

U/s 230-232 **Order delivered on 21.07.2023**

CORAM:
SHRI P.S.N PRASAD,
HON'BLE MEMBER (JUDICIAL)

DR. BINOD KUMAR SINHA,
HON'BLE MEMBER (TECHNICAL)

PRESENT:

For the Applicant :
For the Respondent :

ORDER

Order pronounced in open court vide separate sheets. CP (CAA) No.- 34/230/232/ND/2022 (2nd Motion) is **allowed**.

Sd/- **Sd/-**

(DR. BINOD KUMAR SINHA) **(SHRI P.S.N PRASAD)**
MEMBER (T) **MEMBER (J)**

NATIONAL COMPANY LAW TRIBUNAL
NEW DELHI BENCH, COURT-V

COMPANY PETITION NO. (CAA)-34(ND)/2022
CONNECTED WITH
COMPANY APPLICATION NO. CA (CAA)-85(ND)/2020

Under Section 230-232 and other applicable provisions of the Companies Act, 2013 r/w the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016)

IN THE MATTER OF SCHEME OF ARRANGEMENT :

AMONGST

BIKANO FOODS PRIVATE LIMITED
A-28, Lawrence Road, Industrial Area, New Delhi- 110035

... Transferor/ Petitioner No.1 Company

AND

BIKANERVALA FOODS PRIVATE LIMITED
A-28, Lawrence Road, Industrial Area, New Delhi- 110035

... Transferee/Demerged/ Petitioner Company No.2

AND

BIKANERVALA PRIVATE LIMITED
A-28, Lawrence Road, Industrial Area, New Delhi- 110035

... Resulting/Petitioner Company No. 3

AND

THEIR RESPECTIVE SHAREHOLDERS AND CREDITORS

Section: 230 to 232 of the Companies Act, 2013

Order Delivered on: 21.07.2023

CORAM

SHRI. P.S.N PRASAD, HON'BLE MEMBER (JUDICIAL)

DR. BINOD KUMAR SINHA, HON'BLE MEMBER (TECHNICAL)

PRESENT

For the Petitioner	**:**	Adv. Mr. Arun Saxena
For the Respondent	**:**	
For the RD	**:**	Ms. Swechcha Mishra
For the OL	**:**	Adv. Ms. Hemlata Rawat
For I.T Department	**:**	Mr. Zoheb Hossain

ORDER

PER: DR. BINOD KUMAR SINHA, HON'BLE MEMBER (TECHNICAL)

1) This Petition is preferred by the Petitioner Companies under Section 230 to 232 of Companies Act, 2013 read with the Companies (Compromise, Arrangements and Amalgamations) Rules, 2016 for approval of the Scheme of Arrangement (hereinafter referred to as the **'Scheme'** for brevity), as contemplated between the Companies, its Shareholders and Creditors. The copy of the Scheme has been placed on record. Details of the Companies proposed to be amalgamated, as placed on record, are given in the following paragraphs.

I. Bikano Foods Private Limited (hereinafter referred to as the "Petitioner No. 1/Transferor Company") having CIN

U15412DL2011PTC218562 is a private limited company incorporated on 04.05.2011 under the Companies Act, 1956. The registered office of the Transferor Company is situated at A-28, Lawrence Road, Industrial Area, New Delhi - 110035

II. Bikanervala Foods Private Limited (hereinafter referred to as the "Petitioner No. 2/Transferee Company/Demerged Company) having CIN (U74899DL1988PTC033644) is a private limited company incorporated on 25.10.1988 under the Companies Act, 1956. The registered office of the Transferor Company is situated at A-28, Lawrence Road, Industrial Area, New Delhi - 110035

III. Bikanervala Private Limited (hereinafter referred to as the "Petitioner No. 3/Transferor Company") having CIN (U15549DL2019PTC354676) is a private limited company incorporated on 04.09.2019 under the Companies Act, 2013. The registered office of the Transferor Company is situated at A-28, Lawrence Road, Industrial Area, New Delhi – 110035

2) The present Petition has been filed by all the Transferor and Transferee Company jointly. All the 'Transferor, Transferee & the Resulting' Companies together are called **'Petitioner Companies'** hereinafter. The Registered offices of all the Companies being in Delhi, the territorial jurisdiction lies with this Tribunal.

3) From the records, it is seen that the First Motion Petition No. Company Application (CAA)/85/ND/2021 was filed by the Petitioner Companies for convening meetings of Shareholders and Secured and Unsecured Creditors of the Petitioner Company No.1 and Petitioner Company no. 2. This Tribunal, vide Order dated 22.12.2021 & 05.01.2022 directed the petitioner no.1 & 2 Companies to convene the meeting of shareholder & secure creditor within 45 days from the date of Order (i.e Order dated 05.01.2011) through Video Conferencing of the Company for considering and approving the scheme.

4) The Petitioner has submitted that, as per the direction of this Hon'ble Tribunal dated 22.12.2021 and 05.01.2022, the meeting of Secured and Unsecured Creditor of the Petitioner Companies were held on Saturday, 19.02.2022 through Video Conferencing under the Chairperson of Advocate Mr. Ishwar Chandra Mohapatra, Advocate Mr. Rakesh Kumar Alternative Chairman and Mr. Suraj Sharma, Practicing Company Secretary, Scrutinizer.

5) Further the petitioner submitted that the Appointed date as per the proposed Scheme of Amalgamation is 01.04.2019.

6) Subsequently, the Petitioner Companies moved the Second Motion petition and vide order dated 05.01.2022, this Tribunal directed the Petitioners to publish the notice in two newspapers and issue notices

to the Central Government, Registrar of Company NCT of Delhi & Haryana, Regional Director (Northern Region) MCA, Income Tax Authorities, Official Liquidator and to such other Objector(s), if any.

7) By filing an Affidavit of Service, it is stated by the Petitioner Companies that in compliance of the abovesaid directions, the Petitioner Companies have duly published the Notices of the present Company Petition on 06.04.2022 in the "Business Standard" (English) and (Hindi) Delhi Edition newspapers. The Petitioner Companies have also confirmed that notices were also served to the Central Government, Registrar of Company NCT of Delhi & Haryana, Regional Director (Northern Region), Income Tax authorities and Official Liquidator.

8) Pursuant to the notice issued to the Regional Director (hereinafter referred to as RD), Official Liquidator and Income Tax Department. However the RD and Official liquidator have filed their response/reply in the matter.

9) The Regional Director (hereinafter referred to as 'RD') in its report dated 05.07.2022 has made certain observations with regard to the proposed Scheme among the Petitioner Companies. In response to the observation made by the RD the Petitioner Companies had filed reply on dated 09.08.2022, wherein the Petitioner Companies gave

clarification and undertaking to address the observations made by the 'RD'. The details of the same are summarised below:

Observation	Observation of the Regional Director vide report dated 05.07.2022	Reply of the Petitioner Companies vide Affidavit dated 09.08.2022
1.	That as per Audited Financial Statement of Transferee/Resulting Company for the year ended 31.03.2021, it has observed that the revenue from operations since last two years is Nil. Hence, the Company is a dormant company under Section 455 of the Companies Act, 2013	"It is humble submitted that in view of wide spread of COVID-19 pandemic and nationwide lockdowns in that duration the process of approval of Scheme of Arrangement by this Hon'ble Tribunal got delayed which in normal situation does not take more than eight to ten months. Further submitted that the Resulting Company has been regularly filing the Financial Statements and Annual Statements in e-Form AOC-4 and e-Form MGT-7 on Ministry of Corporate Affairs portal. Therefore, Resulting Company is not an inactive company. In view of above and pending petition before this Hon'ble Tribunal for approval of Scheme of Arrangement, it is humbly submitted that Resulting Company is not Dormant Company".
2.	That if any Stamp Duty arises in future in, respect to the Transferor Company, then the said stamp duty would be paid by the Transferee Company as the Transferor Company would be dissolved after the merger. If any stamp duty arises in future in respect to the Demerged Undertaking of the Demerged Company, then that would be paid by the Resulting Company.	"That the petitioner companies vide its Scheme of Arrangement have already made the provision with reference to payment of stamp duty in case of any stamp duty arises in future in respect of Transferor Company shall be paid by Transferee Company and in respect to the Demerged Undertaking of the Demerged Company, would be paid by the Resulting Company".

10) It emerged that initially, the Regional Director (RD) in its report dated 05.07.2022 had made certain observations with regard to the proposed scheme of Arrangement among the petitioner companies. However, after receiving the reply of the Petitioner Companies by the RD, the counsel for the RD stated that their observation have been met, and the same was recorded vide order dated 15.02.2023.

11) The Official Liquidator has filed its report dated 26.08.2022, wherein no specific objection has been raised against the approval of the Scheme. It is submitted in the report that the affairs of the transferor companies do not appear to have been conducted in a manner prejudicial to the interest of its members or to public interest in terms of the provision of the Companies Act, 2013.

12) The Income Tax Department has not submitted its report. However as observed in the order dated 10.11.2022, the Ld. Counsel for the Income Tax Department has submitted that the Transferee Company has tax dues of around Rs. 43Lacs. In reply, the Ld. Counsel for the Applicant has submitted that these dues are under rectification before the Income Tax authority. Further the Ld. Counsel for the Applicant has also submitted that they have already clarified in the scheme of arrangement that whatever the tax dues, it demanded the Transferee Company will be bound to pay the same as per law. Therefore, the

submission of Income Tax stands clarified according to the Counsel for the Income Tax Department as observed in order dated 15.02.2023.

13) In this petition it has also been affirmed that no proceeding for inspection, inquiry or investigation under the provisions of the Companies Act, 2013 or under provisions of Companies Act, 1956 is pending against the Petitioner Companies.

14) Certificates of Statutory auditor of the petitioner companies, has been placed on record to the effect that Accounting Treatment proposed in the Scheme of Arrangement is in conformity with the Accounting Standard notified by the Central Government as specified under the provisions of Section 133 of the Companies Act, 2013 read with Rule 7 of the Companies Accounts Rules, 2014 and Companies (Accounting Standards) Amendment Rules, 2016, and other generally accepted accounting principles in accordance with the Companies Act, 2013, as applicable.

15) It is settled law that the share-holder of the Petitioner Companies are the best judges of their interest, being fully conversant with market trend. Therefore, this tribunal is not supposes to look into merit of their Commercial decision.

16) It has also been affirmed in the Petition that the Scheme is in the interest of all the Petitioner Companies including their shareholders, creditors, employees and all concerned. In view of the foregoing, upon

considering the approval accorded by the members and creditors of the Petitioner companies to the proposed Scheme, there appears to be no impediment in sanctioning the present Scheme.

17) Consequently, sanction is hereby granted to the Scheme under Section 230 to 232 of the Companies Act, 2013 with the following directions: -

(i) The Petitioners shall however remain bound to comply with the statutory requirements in accordance with the law.

(ii) Notwithstanding the above, if there is any deficiency found or, violation committed, qua any enactment, statutory rule or regulation, the sanction granted by this court to the scheme will not come in the way of action being taken in accordance with the law, against the concerned persons, directors and officials of the petitioners.

(iii) While approving the Scheme as above, we further clarify that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges if any, and payment in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law.

18) This Tribunal further directs with respect to all the Transferor companies and the Transferee company, that:

(i) The proposed Appointment date is 01.04.2019. However this Tribunal prescribe the Appointed Date as 01.04.2022. Upon the sanction becoming effective from the appointed date as prescribed by this Tribunal i.e 01.04.2022, the Transferor Companies shall stand dissolved without undergoing the process of winding up.

(ii) All contracts of the Transferor Companies, which are subsisting or having effect immediately before the Effective Date, shall stand transferred to and vested in the Transferee Company and be in full force and effect in favour of the Transferee Company and may be enforced by or against it as fully and effectually as if, instead of the Transferor Company, the Transferee Company had been a party or beneficiary or obliged thereto;

(iii) All the employees of the Transferor Companies shall be deemed to have become the employees and the staff of the Transferee Company with effect from the Appointed Date, and shall stand transferred to the Transferee Company without any interruption of service and on the terms and conditions no less favourable than those on which they are engaged by the Transferor Companies, as on the Effective Date, including in relation to the level of remuneration and contractual and statutory benefits, incentive plans, terminal benefits, gratuity plans, provident plans and any other retirement benefits;

(iv) All liabilities of the Transferor Companies, shall, pursuant to the provisions of section 232(4) and other applicable provisions of the Companies Act, 2013, to the extent they are outstanding as on the Effective Date, without any further act, instrument or deed stand transferred to and be deemed to be the debts, liabilities, contingent liabilities, duties and obligations etc. as the case may be, of the Transferee Company and shall be exercised by or against the Transferee Company, as if it had incurred such liabilities.

(v) All proceedings now pending by or against the Transferor Companies be continued by or against the Transferee Company.

(vi) Any person interested or effected shall be at liberty to apply to this Tribunal in the above matter for any directions that may be necessary.

19) Further, the Petitioner Companies shall within thirty days of the date of the receipt of this order, cause a certified copy of this order to be delivered to the Registrar of Companies for registration and on such certified copy being so delivered, the Transferor companies shall be dissolved and the Registrar of Companies shall place all documents relating to the Transferor Companies on the file kept by him in relation to the Transferee Company and the files relating to all the Petitioner Companies shall be consolidated accordingly.

20) In compliance with the requirement of Section 232 (7) of the Act, the transferee company shall until the full implementation of the Scheme of Arrangement shall file a statement every year in the Form CAA 8 along with the required fees with the Registrar of Companies as prescribed in the Companies (Registration offices and fees) Rules 2014 within 210 days from the end of each financial year.

21) The petition stands disposed of in the above terms.

Let copy of the order be served to the parties.

Sd/-

(DR. BINOD KUMAR SINHA)
MEMBER (TECHNICAL)

Sd/-

(SHRI. P.S.N. PRASAD)
MEMBER (JUDICIAL)